CITY ATTORNEY'S IMPARTIAL ANALYSIS OF MEASURE "G"

Extending the Three-Fourths of One Cent (3/4¢) Transactions and Use Tax ("Sales Tax")

On June 17, 2026, the City Council of the City of Arcata ("City"), acting on its own motion, not by voter petition, voted to place Measure G on the ballot for the November 3, 2026, general municipal election. If approved by a majority of City voters (50% + 1), this measure would extend the existing three-fourths of one cent (3/4¢) transactions and use tax within the City until rescinded by voters.

On November 4, 2008, City voters approved a three-fourths of one cent (3/4¢) transactions and use tax for a twenty (20) year term. Transactions and use taxes, also known as "sales taxes", are taxes imposed on the sale of tangible personal property at retail, which local agencies are authorized to impose and extend under Revenue and Taxation Code section 7285.9. The three-fourths of one cent (3/4¢) transactions and use tax expires on March 31, 2029. Under the California Constitution, local governments may vote to extend a sales tax, subject to approval by the voters at an election. This measure would extend the three-fourths of one cent (3/4¢) transactions and use tax within the City upon expiration of the existing three-fourths of one cent (3/4¢) transactions and use tax on March 31, 2029, until rescinded by voters.

The City's current sales tax rate is 10.250%. If the measure passes, the sales tax rate would remain 10.250% The tax would continue to be collected in the same manner as existing sales taxes. It is estimated that extending the three-fourths of one cent (3/4¢) transactions and use tax will provide 2.8 million dollars ($2,800,000) in annual local funding. The transactions and use tax revenue would remain in the City and would not be shared with the State or County.

This sales tax is a "general tax", meaning that revenues raised from the tax go into the City's general fund to pay for any lawful City program, service, or improvement. According to the City Council, the measure is proposed to continue existing general government funding to maintain essential services including public safety staffing; filling potholes; maintaining and repairing City streets, sidewalks, multi-use trails, and bicycle paths; and expanding multi-modal circulation.

The measure would require the existing Transactions and Use Tax Oversight Committee to conduct an annual review of all expenditure of revenues generated by the sales tax.

A "yes" vote on Measure G will authorize extending the three-fourths of one cent (3/4¢) sales tax until rescinded by voters.

A "no" vote on Measure G will not authorize extending the three-fourths of one cent (3/4¢) sales tax until rescinded by voters.

The above statement is an impartial analysis of Measure G. If you desire a copy of the measure, please contact the City Clerk's Office at 707-822-5953 or RVarley@CityofArcata.org and a copy will be mailed at no cost to you.

You may also access the full text of the measure on the county website at the following website address (www.humboldtgov.org/elections).

Arguments in support or opposition of the proposed laws are the opinions of the authors.

Argument in Favor of Measure G

Vote YES on Measure G to continue investing in Arcata's future.

Measure G renews Arcata's existing ¾ cent local sales tax that has funded essential City services since first approved by the voters in 2008, as Measure G. This current measure extends that funding source to continue to support public safety through maintenance and improvements to streets, multi-use trails, sidewalks, bike lanes, environmental stewardship, emergency response and public safety staffing levels established in 2008.

Without the $39 million generated by Measure G, projects such as the Annie & Mary Trail; Humboldt Bay Trail; Old Arcata Road Rehabilitation; Sunset Blvd and LK Wood project; South Arcata Multimodal Improvement Project (SAMSIP); traffic calming measures; annual paving, slurry, and sidewalk improvements, including American with Disabilities Act (ADA) ramps and accommodations - would not have happened. Measure G funds allowed Arcata to leverage the dollars spent on local transportation projects for an additional $35 million in grants.

Without renewal, Arcata would lose an important source of local revenue that helps maintain public safety and quality of life that residents, businesses, students, and visitors expect.

Every dollar generated by Measure G stays in Arcata and cannot be taken by Sacramento or the federal government. Independent financial audits and public oversight help ensure that revenues are used responsibly and transparently.

Measure G is a continuation of a locally controlled funding source—not a new tax. Measure G ensures visitors, tourists, students, and governmental agencies (including Cal Poly) all share the costs of supporting the transportation options and public safety we value. Measure G is not charged for your groceries, prescription medications, services, or rent, limiting the impact on residents.

Please join community members in supporting continued investment in Arcata.

Vote YES on Measure G.

/s/ Wendy Starr, Population Health Professional, City of Arcata Planning Commission, 7-year Resident of Arcata
/s/ Jeff Nagan, Downtown Arcata Property and Business Owner, 27-year Resident of Arcata
/s/ Charles Powell, Equity Arcata Volunteer, 29-year Resident of Arcata
/s/ Stephanie Lane, Executive Director of Cal Poly Humboldt Alumni Relations, and Recreation Committee Member, Arcata Resident
/s/ Colin Fiske, Executive Director of Coalition for Responsible Transportation Priorities (CRTP), Member of Transactions Tax Oversight Committee, 7-year Resident of Arcata